

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,
Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL (EUROPE), LTD
Respondent and Third-Party Complainant,

v.

SAMSUNG ELECTRONICS COMPANY, LTD.
Third-Party Respondent.

**THIRD-PARTY RESPONDENT SAMSUNG ELECTRONICS CO., LTD, S/H/A
SAMSUNG ELECTRONICS COMPANY, LTD.'s REPLY TO RESPONDENT'S
OPPOSITION TO THE AMENDED MOTION TO DISMISS THE AMENDED THIRD-
PARTY COMPLAINT**

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PRELIMINARY STATEMENT

Third-Party Respondent Samsung Electronics Co., Ltd., sued here as Samsung Electronics Company, Ltd. (“SEC”), by its undersigned attorneys, respectfully submits this Reply to Third-Party Complainant Orient Overseas Container Line, Ltd. and OOCL (Europe) Ltd.’s (“OOCL” or “Respondents”) Opposition (“Opp.”) to SEC’s Amended Motion to Dismiss the Amended Third-Party Complaint for failure to state a claim upon which relief can be granted (“Amended Motion”).

INTRODUCTION

At the outset, SEC objects to OOCL’s reference to an unrelated and *sub judice* matter in a transparent attempt to buttress its characterization of SEC (and SEA¹) as conspiring “villains”. Opp., p. 1 at n. 1. Moreover, the citation (FMC Dkt. No. 24-16, Doc. No. 72) is **not** to a decision in that matter, but merely to the respondent’s brief opposing SEC’s motion to dismiss. Accordingly, it has no bearing or precedential value in determining **this** motion and must be ignored.

The procedural background of this matter is set forth in the SEC Amended Motion which also details the fundamental deficiencies of the Amended Third-Party Complaint (“ATPC”). OOCL’s Opposition does nothing to cure those deficiencies; rather, it continues to rely on its unsupported allegation that SEC and SEA carried out “a scheme of deception and concealment” to obtain reduced rates and charges in violation of 46 U.S.C. §41102(a). (Opp. at 1.) The entire basis for OOCL’s amended complaint, however, relies on its illogical and circular argument that because SEA later disputed delay-related payments, *ipso facto*, SEC and SEA must have, from the beginning, intended not to honor their obligations.

¹ Samsung Electronics America, Inc., the complainant in this matter. SEC incorporates the abbreviations delineated in its Motion.

OOCL's allegations in the ATPC amount to nothing more than conjectures and suspicions which have no place in adjudicating a commercial dispute. "Because courts occupy a special place in our democracy, they must be especially careful not to succumb to the merchants of conjecture. Consequently, they must deal in facts as opposed to suspicions, and in plausible inferences as opposed to speculative suppositions." *National Amusements, Inc. v. Town of Dedham*, 43 F.3d 731, 744 (1st Cir. 1995). Although *National Amusements* concerned a summary judgment motion (*Id.* at 749), the logic of the court's observation applies with equal force here.

BACKGROUND

I. Factual Allegations²

For the purpose of this submission, SEC will limit its discussion to factual allegations actually pled.

The alleged RFQs and Service Contracts speak for themselves and the sequence of events in this matter is straightforward. SEC and OOCL allegedly negotiated certain service contracts in 2021 and 2022 (ATPC ¶¶ 12-17). The contracts were allegedly signed by SEC, and SEA was allegedly listed as an affiliate of SEC (ATPC ¶ 16,19). Under the terms of the alleged service contracts, goods transported by OOCL were consigned to Complainant SEA (ATPC ¶ 34). Certain charges incurred in the United States for demurrage, detention, and other costs were assessed by

² For purposes of the amended motion, SEC recognizes that the Presiding Officer shall accept OOCL's factual allegations as true. However, the Presiding Officer need not accept as true legal conclusions which are not supported by factual allegations. *See Maher Terminals, LLC. v. the Port Authority of New York and New Jersey*, FMC Dkt. No. 12-02, 2015 WL 9426189, *12 (FMC Dec. 18, 2015). To reiterate: if the matter proceeds, SEC will vigorously contest the factual allegations summarized here.

OOCL and paid by SEA³. SEA challenged the propriety of these overcharges of SEA cargo carried by OOCL (ATPC ¶¶ 51-61). Communications were exchanged back and forth between OOCL and SEA regarding those overcharges, without resolution (*Id.*), and in 2024 SEA filed the action herein against OOCL. In response, OOCL filed its Counterclaim against SEA and the Third-Party Complaint against SEC.

II. Conclusory and Absent Allegations

OOCL has failed to plead sufficient *factual* allegations to state a claim against SEC and its Opposition does not cure that deficiency. OOCL's amended third-party complaint alleging a violation of the statute relies on (1) the alleged "concealment" by SEC (and SEA) of its disagreement with the terms of OOCL's detention, demurrage and other charges arising under certain service contracts *at the time those contracts were negotiated and signed*; and, (2) SEA's alleged disagreement with charges and requests for refunds or refusals to pay during the tenure of the service contracts (ATPC ¶¶ 51-61). Through this alleged concealment and refusal to honor obligations, OOCL claims that SEC has violated, *inter alia*, 46 U.S.C. § 41102(a) by "inducing OOCL to enter into Service Contracts on the rates, terms, and conditions set forth therein, and to provide services thereunder, concealing their disagreement with the clear terms of the Service Contracts....Through such knowing and willful conduct, Third-Party Respondents used this unjust and unfair device or means to obtain attempt to obtain ocean transportation at less than applicable rates and terms." (ATPC ¶¶ 63-67). But these illusory speculations and conclusory statements do not support the elements that constitute a valid 46 U.S.C. § 41102(a) claim.

³ While the ATPC itself does not include allegations regarding payments made by SEA, it does reference earlier charges (ATPC ¶¶ 48 and 54) for which payments must have been made, as the dispute arose by way of SEA's demands for reimbursement.

OOCL relies on unfounded and unsupported theories of conspiracy and agency to shore up its allegations, asserting now that the SEC “was the ringleader of this scheme...while SEA acted as SEC’s foot soldier, following SEC’s directions...” Opp. at 1. At no point in the Complaint, however, does OOCL allege *facts* to support this supposed conspiracy or facts supporting any kind of agency theory. Just because SEA may have been listed as an affiliate of SEC in the Service Contracts does not obviate its status as its own corporate self. *See, e.g., Spagnola v. Chubb Corp.*, 264 F.R.D. 76, 89 (S.D.N.Y. 2010) (court noting “the law recognizes that corporations may be organized in ways to limit liability among separate corporate entities ... thus a parent company is not automatically liable for the acts of a wholly-owned subsidiary,” and noting the substantial pleading requirements for alleging liability under various agency theories). While OOCL misleadingly alleges that SEA is an “entity controlled by” SEC (ATPC ¶ 21⁴), this self-serving statement is not sufficient to establish such a relationship. “Agency is never to be presumed; it must be shown affirmatively.” *Industrial Maritime Carriers, Inc. v. Japan Heavy Lift, Sankyu, Inc.*, No. Civ.A 03-1041, 2006 WL 860979, *1 (E.D. La. Mar. 20, 2006) (citing *Karl Rove & Co. v. Thornburgh*, 39 F. 2d. 1273, 1296 (5th Cir. 1994)).

In short, OOCL’s opposition does not do anything (and cannot do anything) to cure the deficiencies of the Amended Third-Party Complaint; it simply repeats and expands upon conclusory allegations. “Rather the inquiry is whether the allegations in the *Complaint* plausibly state a claim for relief.” *Hicks v. Department of Public Safety and Corrections*, 595 F. Supp. 3d 463, 470 (M.D. La. 2022), *aff’d in part and dismissed in part on other grounds sub nom.*, *Hicks*

⁴ Without admitting the truth of the allegation, SEC notes that the referenced alleged Service Contracts refer to an affiliate as an entity “controlled by, controlling, or under common control with the Shipper.” There is a significant difference between the different statuses which OOCL ignores.

v. LeBlanc, 81 F.4th 497 (5th Cir. 2023)(emphasis in original); *see also Hurst v. District of Columbia*, 681 F. App'x. 186, 194 (4th Cir. 2017) (“a plaintiff may not amend her complaint via briefing”).

ARGUMENT

I. OOCL's Desire for Dismissal on Prudential Grounds is Without Merit

OOCL now argues that SEC's Amended Motion to Dismiss should be “denied on prudential grounds.” Opp. at 6. However, OOCL's Opposition makes clear that its actual argument is for the Amended Motion to be denied, not on its merits, but in order to permit discovery to proceed in the vain hope that it may find something in discovery that will somehow support its allegations against SEC, and perhaps in its dispute with SEA.⁵

OOCL argues that releasing SEC from this unwarranted litigation would be “highly prejudicial, inappropriate and inconsistent with due process” and that “premature resolution” of SEC's Amended Motion “may well cause unnecessary delay.”⁶ *Id.* However, the inverse is true. Binding SEC to this litigation where OOCL has failed to meet its pleading threshold on the hope that OOCL will be able to cobble together a fig leaf of an argument after discovery would be “highly prejudicial, inappropriate and inconsistent with due process”. *Id.*

⁵ *O.J. Commerce, LLC v. Hamburg Sud*, Dkt. No. 21-11, 2022 WL 19299188 (ALJ Aug. 31, 2022) and *Yakov Kobel v. Hapag-Lloyd A.G.*, Dkt. No. 10-06, 2011 WL 7144010 (ALJ May 24, 2011) both involved motions for summary judgement filed after substantial discovery, including depositions and expert reports had already taken place, thus putting factual disputes squarely before the ALJ. In contrast, SEC moves for dismissal because the Complaint itself is deficient as against SEC, regardless of any discovery going on between OOCL and SEA (Opp. at 7).

⁶ SEC notes that it is not SEC which has caused delays through improper service and the filing of an Amended Complaint. After proper service, SEC timely filed its Motion to Dismiss for Failure to State a Claim on September 8, 2025; however, that motion was suspended by OOCL's choice that the filing of OOCL's amended Third-Party Complaint on September 29, 2025, would provide a better attempt at survival of the claims rather than having SEC's initial motion adjudicated.

Specifically, this is because pleading standards apply *before* discovery begins. “Discovery should follow the filing of a well-pleaded complaint. It is not a device to enable a plaintiff to make a case when his complaint has failed to state a claim.” *Kaylor v. Fields*, 661 F.2d 1177, 1184 (8th Cir. 1981). *See also Johnson v. BOKF National Association*, 15 F.4th 356, 365 (5th Cir. 2021)(plaintiff “failed to ‘state a claim to relief that is plausible on its face.’ [*Bell Atlantic Corp. v. Twombly*, 550 U.S. [344] at 570[(2007)] ... ‘Because [her] complaint is deficient under Rule 8, [s]he is not entitled to discovery, cabined or otherwise.’” (quoting *Jackson v. City of Hearne*, 959 F.3d 195, 202 (5th Cir. 2020))(other citation omitted). OOCL cannot look to discovery to perfect its Amended Third-Party Complaint.

II. The Amended Third-Party Complaint’s Allegations concerning a Shipping Act Violation are Not Plausible

SEC agrees that the allegations in the Amended Third-Party Complaint are to be evaluated in accordance with *Twombly* and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009) and their progeny. However, OOCL fails to meet those minimal standards.

“The pleading standard Rule 8 announces does not require ‘detailed factual allegations,’ but it demands more than an unadorned, the-defendant-unlawfully-harmed-me accusation.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). Moreover, *Iqbal* makes clear that OOCL’s Amended Third-Party Complaint – which alleges nothing more than “labels and conclusions” and “naked assertion[s] devoid of further factual enhancement” – fails to state a claim under the Shipping Act. *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555, 557)(internal quotations omitted).

In attempting to justify a complaint that fails to offer any factual basis for the conclusory allegation of a Shipping Act violation, OOCL does not address the fundamental principle that the

Iqbal/Twombly pleading standards “imposes legal *and* factual demands on authors of complaints.” *16630 Southfield Ltd. P’ship v. Flagstar Bank, F.S.B.*, 727 F.3d 502, 503 (6th Cir. 2013)(emphasis in original). As also noted in *16630 Southfield*, the pleading requirements set out in *Iqbal* and *Twombly* “do not exist for their own sake. Discovery imposes costs – not only on defendants but also on courts and society.” *Id.* at 504. As stated in *Twombly*, “a district court must retain the power to insist upon some specificity in pleading before allowing a potentially massive factual controversy to proceed.” 550 U.S. at 558 (internal quotations omitted). The Presiding Officer should similarly act as a gatekeeper to put a stop to OOCL’s improper attempt to bring SEC into this FMC proceeding.

At the end of the day, OOCL is required “to allege facts that make its claims plausible, which necessarily requires factual allegations involving some combination of the who, what, when, where, and how of Shipping Act violations.” *Maher Terminals, LLC*, 2015 WL 9426189 at *14.

Here, OOCL offers nothing other than freestanding and unsupported accusations that SEC and SEA engaged in a nefarious plot to obtain favorable treatment by concealing their intent to later dishonor the terms of the alleged service contracts, and by disputing the terms of those contracts later. That is it.

As more fully discussed in SEC’s Amended Motion to Dismiss, OOCL’s flawed legal theory and unsupported allegations have already been rejected, in this and one other case – *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, FMC Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff’d in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025)(“FMC OOCL Decision”) and *Samsung Electronics America, Inc. v. SM Line Corp.*, FMC Dkt. No. 23-01 (Doc. No. 59)(ALJ Jan. 31, 2024). In both matters, the Presiding Officer (and in this very matter, the Commission) dismissed as a matter of law nearly

identical § 41102(a) claims as asserted here by OOCL. OOCL's Amended Third-Party Complaint against SEC should suffer the same fate.

III. Fed. R. Civ. P. 9(b)

The allegations of OOCL's Amended Third-Party Complaint, and the claims it makes in its Opposition, sound in fraud – conspiracy, concealment, refusal to provide information, refusal to pay, refusal to accept responsibility – all in bad faith and through fraud or concealment (ATPC ¶¶ 30-32, 63-67, 85-87). Accordingly, SEC asserts that the Amended Third-Party Complaint should be subject to the heightened pleading requirements of Fed. R. Civ. P. 9(b). Rule 9(b) which provides that “[i]n alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake.”

In its Opposition, OOCL argues that the heightened pleading requirement of Fed. R. Civ. P. 9 (b) does not apply in FMC cases (OOCL Opp. 18-23), and states that “the Commission has expressly and repeatedly rejected application of Fed. R. Civ. 9(b) to claims under § 41102(a),” citing, *inter alia*, the Commission's 1993 decision not to add such a requirement to its pleading rules. OOCL further asserts that this decision was recently reaffirmed by the Commission in *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff'd in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025).

SEC is well aware of the precedent addressing this issue and has set out in detail the reasons that the 1993 direction as well as decisions such as *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008 (FMC Aug. 1, 2011) should be reexamined (SEC Motion at 10-16).

While SEC recognizes that the Presiding Officer is constrained by FMC precedent, it would be appropriate, just as Commissioner Khouri did in *Mitsui*, for the Presiding Officer to address the imperative need for the Commission to take a fresh look at the application of Fed. R. Civ. P. 9(b) in FMC proceedings.

IV. OOCL's Allegations Fail to Meet the Commission's General Pleading Standard

In any event, the Amended Third-Party Complaint fails to meet the Commission's general pleading standard under Rule 62(a)(3)(iii)(46 C.F.R. § 502.62), as its allegations do not inform SEC with reasonable definiteness of the acts or practices alleged to be in violation of § 41102(a).

46 U.S.C. § 41102(a), titled "Obtaining Transportation at Less Than Applicable Rates" provides that:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

OOCL states in its opposition that it has adequately alleged each of the elements required by the statute. But it has not done so in its *Amended Third-Party Complaint*. To wit: it has alleged that SEC is a person (ATPC ¶ 7). It has alleged that SEC signed certain service contracts. (ATPC ¶ 9). It has alleged what it says are the terms of those service contracts insofar as terms of delivery, and liability for detention, demurrage or other costs (ATPC ¶¶ 12-27). It has alleged that SEC and SEA "were aware or should have been aware" of the terms of the alleged service contracts. (ATPC ¶ 29).⁷ The rest of the Amended Third-Party Complaint concerns itself factually with the dispute between SEA and OOCL but then devolves into repetitive allegations as to SEC's (and SEA's) respective intents and states of mind.

⁷ See note 2, *supra*.

A. OOCL Does Not Allege Knowing and Willful Conduct by SEC, or an Unjust or Unfair Device or Means

As noted in SEC's Amended Motion to Dismiss, OOCL has utterly failed to properly allege Section 41102(a)'s first element - knowing and willful conduct - as against SEC (Amended Motion at 4 and 18). Nor has it properly alleged the second; that SEC obtained ocean transportation at less than otherwise applicable rates through the use of an unfair or unjust means or device.

OOCL states that it has adequately alleged that SEC "knowingly and willfully" engaged in an unjust or unfair device. That "unjust or unfair device" is, according to OOCL, the inducement of OOCL by SEC into offering favorable terms by concealing its intentions not to honor the agreement. (ATPC ¶¶ 30-32, 85-86). But, once again, there are no facts alleged to support this wrongful conduct. The only post-signing conduct OOCL alleges in the Amended Third-Party Complaint is that, during and after the performance of the Service Contracts, SEA disagreed with charges and demanded refunds. Speculation as to SEC's earlier state of mind is just that, speculation, and cannot show "knowing and willful" conduct on the part of SEC. Labeling conduct as "knowing and willful" without some factual support does not make it so and the Presiding Officer need not accept these unsupported statements as true." *16630 Southfield Ltd. P'ship v. Flagstar Bank, F.S.B., supra; Maher Terminals, supra.*

B. OOCL Does Not Adequately Allege False or Fraudulent Conduct by SEC

OOCL makes the conclusory allegations that SEC employed an "unjust or unfair device or means." (ATPC ¶¶ 65-66.) However there is nothing in the Amended Third-Party Complaint detailed or informative enough to state an actionable claim against SEC.

In its Opposition, OOCL cites *Hohenberg Brothers Co. v. FMC*, 316 F. 2d. 381 (D.C. Cir. 1963) as "on all fours" and standing for the proposition that "a party's attempts to pressure another party into granting a refund by means other than a complaint may constitute an unfair device or

means within the meaning of 46 U.S.C. § 41102(a).” (OOCL Opp. at 12.) But such a comparison is inapt. Hohenberg’s demands for refunds were part and parcel of extensive illegal conduct involving deliberately mislabeled cargo, the connivance of the shipper and attempts to hoodwink shipping inspectors, all subsequently undone by Congressional investigation.

Here, it is clear that SEA and OOCL disagreed over charges assessed during the terms of the alleged service contracts. But disagreement over charges and subsequent demands for refunds or withholding of payments, are contractual disputes, and SEA had every right to try and reach a resolution of such disputes before filing its complaint. OOCL says SEA failed to pay certain charges and demanded refunds of others – and from this, would ask the ALJ to infer bad faith on the part of SEC. But, “[i]n the absence of *evidence* of bad faith or deceit, the Federal Maritime Commission will not infer an ‘unjust or unfair device or means’ from the failure of a shipper to pay ocean freight....[A] complaining carrier must show something more than a mere stubborn but good-faith refusal to pay a disputed rate or charge or a refusal to pay based on honest differences.” *ShipCo Transport Inc. v. Saturn Air Sea Cargo*, Dkt No. 95-07, 1995 WL 348131, *3 (ALJ Jun. 2, 1995)(citation omitted)(emphasis added).⁸ Merely adding the phrase “in bad faith” to an allegation stemming from a dispute over contract terms does not make it so.

⁸ OOCL’s reliance on *Tropical Shipping & Construction Co, v. Valley Wide Produce, Inc.*, Dkt. No. 93-05, 1993 WL 285897, *1-2 (ALJ Jul. 20, 1993) is misplaced. There, the shipper ran up unpaid charges. Then, it apparently convinced the same carrier to enter into a credit agreement, promising to pay the arrears. In what should have been no surprise, the shipper reneged on its promises and failed to pay yet more charges. The shipper then failed to respond to the carrier’s FMC complaint and ignored the whole proceeding, resulting in default (which was tantamount an admission of liability). In contrast, while there is no allegation in the Amended Third-Party Complaint concerning the subject of freight payments, given the volume of containers evidently carried by OOCL, it only seems logical to assume that substantial freight payments were made to OOCL in addition to the substantial payments for detention, demurrage and other charges paid by SEA.

V. A Breach of Contract Claim Cannot *Ipsa Facto* be Transformed into a Shipping Act Violation

As presented in its Amended Motion to Dismiss, SEC asserts that facts alleged by OOCL concerning a breach of the alleged service contracts do not give rise to the conclusion that the alleged breaching party did not intend to perform the contract *ab initio*. Amended Motion at 16-18. Yet this inference is precisely the basis of OOCL's Shipping Act violation claims lodged against SEC and SEA.

OOCL has not directly addressed SEC's position but instead simply cites authority for the established and undoubted principle that the Commission has authority and jurisdiction to adjudicate claims for the violation of the Shipping Act even though breach of contract claims may also be present (and subject to separate adjudication). Opp. at 24.

It is common ground that where the factual allegations only relate to a breach of contract claim, the Commission is without subject matter jurisdiction. *See, e.g., DnB Exps. LLC v. Barson Glob. Lojistik*s, Dkt. No. 11-07, 2011 WL 7144017, *5 (FMC Jul. 7, 2011)(dismissing breach of contract counterclaim where complainants "d[id not allege a violation of the Shipping Act...). Subject matter jurisdiction is not at issue in the present matter, as OOCL has alleged an (unsupported) violation of the Shipping Act. Instead, the focus must necessarily be on what **facts** have been alleged as "[T]he Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the **facts** alleged may give rise to both breach of contract claims and Shipping Act claims." *MCS Indus., Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. 21-05, 2023 WL 9604492, *13 (ALJ, Jan. 13, 2023)(quoting *Anchor Shipping Co. v. Aliañq Navegãqo e Logística Ltda.*, Dkt. No. 02-04, 30 S.S.R. 991, 998 (FMC 2006)(emphasis added).

Even viewing OOCL's allegations in the most favorable light, OOCL has merely alleged a contractual dispute; not concealment or fraud. Neither the Shipping Act nor the service contract between SEC and OOCL impose a duty requiring a contracting party to announce that it may later disagree with the interpretation or application of contractual terms; and OOCL cites no authority for such an unlikely obligation. A party's decision to pursue statutory remedies under the Shipping Act does not transform a difference of position with respect to contractual terms into an act of concealment. It is clearly not fraud, and it cannot constitute an "unjust or unfair device" under § 41102(a).

VI. OOCL's Unfounded Allegation of Conspiracy

Although OOCL does not use the word in the Amended Third-Party Complaint, OOCL now accuses SEC and SEA of participating in a conspiracy. Opp. at 1 n. 1. However, OOCL alleges not a single *fact* to support this supposed sophisticated and wide-ranging arrangement among SEC and SEA to violate the Shipping Act which is fatal to the viability of the Amended Third-Party Complaint.

It should be recalled that at the heart of *Twombly* was an allegation of a conspiracy in violation of the Sherman Act, 15 U.S.C. § 1. 550 U.S. at 548. In determining the plausibility of the allegations, the Supreme Court necessarily had to consider the pleadings in the context of an allegation of conspiracy, noting that it "makes sense to say, therefore, that an allegation of parallel conduct and a bare assertion of conspiracy will not suffice. Without more, parallel conduct does not suggest conspiracy, and a conclusory allegation of agreement at some unidentified point does not supply facts adequate to show illegality." *Id.* at 556-57. Similarly:

'We must judge the sufficiency of the complaint by the facts alleged and not by the pleader's conclusions...The repeated words combined, conspired, and agreed together to injure [Plaintiffs]...are insufficient.'...Moreover, Plaintiffs failed to allege any specific factual allegations about the purported conspiracy. Plaintiffs'

complaint is devoid of any *factual* allegations regarding a meeting or agreement between all Defendants.

Fox v. The City of Greensboro, 279 N.C. App. 301, 322, 866 S.E.2d 270 (N.C. Court of Appeals 2021)(quoting *Shope v. Boyer*, 268 N.C. 401, 405, 150 S.E.2d 771 (N.C. 1966))(emphasis added). While *Fox* and *Shope* were construing North Carolina law, the precepts stated apply with equal force here.

The only factual allegations made by OOCL relate to the disputes between OOCL and SEA. Notwithstanding OOCL's repeated statements, there are no factual allegations supporting a legitimate claim of the existence of a conspiracy. The Presiding Officer should summarily reject OOCL's effort to conjure a conspiracy out of thin air.

VII. Leave to Further Amend should be Denied

As a final matter, OOCL asserts that if the Presiding Officer finds its complaint to be deficient, it is "necessary" to allow OOCL an opportunity to amend its already-Amended Third-Party Complaint and refers to SEA being allowed to amend its Complaint in this matter. Opp. at 25.

OOCL is mistaken. While leave to amend pleadings may be routinely granted, it is neither "necessary", nor required. Such leave is denied particularly in cases of bad faith, or where amendment would be futile or would cause undue delay. See, e.g., *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Dkt. No. 14-04, 2014 WL 5824274, *9 (ALJ Nov. 6, 2014) ("when a complaint is dismissed for failure to state a claim, leave to amend need not be given if amendment would be futile."); *Leonelli v. Pennwalt Corp.*, 887 F.2d 1195, 1198 (2d Cir. 1989)(leave to amend "will be denied when an amendment is offered in bad faith, would cause undue delay or prejudice or would be futile.").

While OOCL asserts that it has substantially revised its claims against SEC, a comparison of

the initial Third-Party Complaint and the Amended Third-Party Complaint shows that the “revision” consists primarily of additional, repetitive, but no less unfounded allegations concerning SEC’s state of mind at the time, and including SEC in its allegations regarding the dispute with SEA. (*See, e.g.*, ATPC ¶¶ 30 and 32 (new allegations) and compare TPC ¶ 35 with ATPC ¶ 59 (adding allegations that SEC, as well as SEA, failed to provide information)). In light of the lack of substantive revisions between the initial Third-party Complaint and the Amended Third-Party Complaint, it is clear that OOCL has nothing additional to add and any further amendment would be futile.

CONCLUSION

Given the failure to plead a plausible or actionable claim under the Shipping Act, the Amended Third-Party Complaint should be dismissed.

Accordingly, pursuant to Fed. R. Civ. P. 12(b)(6), 46 C.F.R. §§ 502.69 and 502.70, Third-Party Respondent SEC respectfully moves for an Order:

1. Dismissing with prejudice OOCL’s Amended Third-Party Complaint in its entirety;
and,
2. Granting SEC all such other and further relief as may be just and proper.

Dated: November 12, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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